IN THE HIGH COURT OF JUSTICE **Claim No: BL-2020-002063**
BUSINESS AND PROPERTY COURTS
OF ENGLAND AND WALES
BUSINESS LIST (ChD)

BETWEEN:

Mr NICHOLAS STOOP
Trading as WARWICK RISK MANAGEMENT

Claimant

- and-

Ms NICOLA MAXINE JOHNSON

Defendant

ADVICE ON THE VALIDITY OF THE DAMAGES-BASED AGREEMENT DATED 9 APRIL 2018

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1. I am asked to advise on what prospects Mr Stoop has of showing that the damages-based agreement dated 9 April 2018 ('**the DBA**') that he entered with Ms Johnson is enforceable.

2. The law in this area remains undeveloped and there are good arguments that could persuade a court to reach either conclusion. Mr Stoop's prospects depend in part upon whether the court prefers his evidence or that of Ms Johnson.

3. On balance, I consider that Mr Stoop will succeed in showing that the DBA is enforceable if the court accepts his explanations for:

   a. Mistakenly including in his original Particulars of Claim at [24] the statement that the level of the Success Fee was set at 50% "*to compensate him for the years of work and assistance provided both during and after the Defendant's divorce*". If the court does not, it will very probably decide that the DBA is unenforceable;

   b. Failing to tell Ms Johnson in his email of 25 April 2018 that Clause 5 was intended to record the reason for setting the Success Fee at 50%. If the court does not, it will on balance probably decide that the DBA is unenforceable.

4. There are factual issues that the court requires to determine as part of its decision whether the DBA is enforceable. For this reason, it is inappropriate for the issue to be dealt with separately from trial. This suits Mr Stoop strategically, given the real risk of losing on this issue. It appears to me that he might benefit from trying to settle this case at the appropriate time by way of mediation.

5. I have also been asked to advise whether the DBA requires Mr Stoop to have been the effective cause of the compensation that Ms Johnson received in order to be entitled to a success fee. On balance, I consider that he does.

6. Instructing Solicitors should not hesitate to contact me further about this or any other matter.

THE FACTS

7. Mr Stoop is and was at all material times licensed by the FCA to trade as a claims management business under the name Warwick Risk Management. He was in a romantic relationship with Ms Johnson from around October 2009 until 2017 (according to Mr Stoop) or 2019 (according to Ms Johnson).

Pre-contract

8. Ms Johnson says in her Amended Defence at [21.7] that Mr Stoop convinced her to seek a remedy against Barclays based on the claim [19.1] that it extended loans to her ex-husband that were secured without her knowledge on Warwick House, their London home, and on their Paris flat ('**the Paris Flat**'). Mr Stoop first discussed these allegations in around 2017 [19.2].

9. Ms Johnson says that [19.2] Mr Stoop believed that the claim could be worth around £30 million. Mr Stoop had a greater appetite for the claim than Ms Johnson [20.2]. The claim would involve very significant further fees [20.2] in circumstances where Ms Johnson's solicitors were already owed very significant fees [20.2] and Ms Johnson was having to sell personal assets and borrow off friends to fund her lifestyle with Mr Stoop. Ms Johnson implies that Mr Stoop had even less access to

liquid funds than her, despite him owning two properties in London: [12.2; 12.4; 14.2.4].

10. On 9 April 2018, Mr Stoop sent an email to Ms Johnson attaching a draft letter of engagement for Mr Stoop to assist in pursuing Ms Johnson's claim against Barclays. The draft provided a success fee for Mr Stoop of 50%. Mr Stoop would be responsible for meeting the costs of any legal or other advisers. Mr Stoop says that Ms Johnson suggested a 50% fee; Ms Johnson says that it was Mr Stoop's suggestion.

11. Ms Johnson confirmed by email dated 24 April 2018 that she would like to go ahead with the Barclays claim. The following day she said that she would get a solicitor, her friend Davina, to review the contract, but in the meantime made various comments on the draft. In another email, Ms Johnson also accepted that it was necessary for Mr Stoop to ask her to sign a contract.

12. On 2 May 2018, Mr Stoop sent a second draft letter of engagement revised slightly in the light of Ms Johnson's comments; Mr Stoop said that he intended to instruct Charles Russell Speechlys ('**CRS**'), solicitors, in his own name so that none of the potential costs would be attributable to Ms Johnson.

13. On 4 May 2018, Ms Johnson returned a signed copy of the original (9 April 2018) engagement letter. In her email of 14 May 2018, Ms Johnson said that Davina had been too busy to help her. Ms Johnson wrote, concerned that Mr Stoop may be backing out, that she had been asking Mr Stoop "*for months/years to help me fight Barclays*".

The terms of the DBA

14. The DBA is contained in a six-page letter headed Warwick Risk Management and entitled "*BARCLAYS MORTGAGES*". Clauses 2, 4, 6, 7, 8, and 9 are in what appears to be standard form and need no further consideration. The relevant clauses are:

    <u>Preamble</u>. This sets out the objective of the assignment is to secure compensation in relation to mortgages granted by Barclays in February 2009 to Ms Johnson's ex-

husband including £6 million secured against Warwick House and €6 million secured against the Paris Flat ('**the Mortgages**'). It stated possible different amounts and forms the compensation could take, including "*full or partial release from the burden of the Mortgages.*"

Clause 1 is headed "*The Assignment*" which is defined as comprising consultancy work and claims management services with the objective of securing compensation in respect of the Mortgages. Mr Stoop would be responsible for instructing legal and other advisers, for coordinating their actions, and meeting their costs.

Clause 3 is headed "*Fees*", and confirmed that Ms Johnson would pay no fee apart from the Success Fee. She would not be responsible for meeting any costs unless expressly agreed in writing. Under the subheading "*Success Fee*", this is defined as 50% of any compensation realised pursuant to the Assignment howsoever obtained ('**the Compensation**'). If the Compensation included the release of a mortgage obligation, the Success Fee was payable within 7 days of "*the realisation of the benefit of such release*". For example, payment of a Success Fee after release from the London Mortgage would be due 7 days after the receipt of the net proceeds of sale of Warwick House. No costs would be deducted from the Compensation unless expressly agreed by Ms Johnson in writing.

Clause 5 is headed "*Risks*". It warns of the risks involved in making a claim against a bank.

Performance / termination / breach

15. On 20 March 2019, Ms Johnson sent a letter to her MP, Emma Dent-Coad, regarding the Barclays loans ('**the MP Letter**'). Mr Stoop says this letter was substantially drafted by him. Ms Johnson says that he had "*no material input into the letter*" [40.2; 42; 43.2]).

16. Barclays wrote to Ms Johnson on 20 June 2019 that it "*would prefer to achieve a consensual solution*". Ms Johnson accepts that the MP Letter caused Barclays to become "*more willing to engage*" with her: [43.2].

17. On 8 August 2019, Ms Johnson suggested that Mr Stoop reduce the sum payable under the DBA to 30%; Mr Stoop refused. On 19 November 2019, Ms Johnson emailed Mr Stoop to terminate the DBA.

18. On 4 June 2020, Ms Johnson sold Warwick House for £12 million. On 30 June 2020, Ms Johnson settled her dispute with Barclays over the Warwick House Mortgage in an agreement by which Barclays agreed for the sale of Warwick House and effectively waived any interest on the underlying debt ('**the Settlement Agreement**'). According to Ms Johnson's response dated 8 September 2021 to Mr Stoop's Request for Further Information dated 9 June 2021, the benefit that she gained from the settlement had a value of £922,599.62.

THE LAW

19. In summary, to be enforceable, a damages-based agreement must: (i) be in writing; (ii) not relate to criminal or family proceedings; (iii) not provide for a payment which is over 50% of the sum recovered; and, (iv) include statements required by the regulations, including the reason for setting the amount of the payment at the level agreed.

20. Compliance with these rules must be strict. There is no exemption when the breach is innocent or where it causes no loss to the client. The only exemption is when the breach is immaterial. Materiality is assessed in the light of the purposes of the rules, namely to protect the client and to assist in the administration of justice, and in the circumstances of each case. The threshold for showing that a breach is material is low: only relatively slight breaches will count as immaterial.

Section 58AA of the 1990 Act and the DBA Regulations

21. Damages-based agreements are enforceable only if they comply with section 58AA(4) of the Courts and Legal Services Act 1990 ('**Section 58AA**' or '**the 1990 Act**'). A damages-based agreement is defined by section 58AA(3) as:

> *an agreement between a person providing advocacy services, litigation services or claims management services and the recipient of those services which provides*

that— (i) the recipient is to make a payment to the person providing the services if the recipient obtains a specified financial benefit in connection with the matter in relation to which the services are provided, and (ii) the amount of that payment is to be determined by reference to the amount of the financial benefit obtained.

Section 58AA(7) defines "*payment*" to include "*a transfer of assets and any other transfer of money's worth…*"

22. The Damages Based Agreement Regulations 2013 ('**the DBA Regulations**') were made under Section 58AA(4). Regulation 4(3) provides that (in claims other than employment matters and claims for personal injuries) a damages-based agreement must not provide for a payment above an amount which, including VAT, is equal to 50% of the sums "*ultimately recovered by the client*". 'Payment' is defined in Regulation 1(2) to mean that part of "*the sum recovered*" in respect of the claim that the client agrees to pay the representative. It excludes expenses but includes Counsel's fees.

23. Section 58AA(4)(aa) provides that a damages-based agreement must not relate to proceedings which by virtue of sections 58A(1) and 58(2) cannot be the subject of an enforceable conditional fee agreement. Section 58A(1) states that the proceedings which cannot be the subject of an enforceable conditional fee agreement are: (a) criminal proceedings; and (b) family proceedings. Section 58A(2) defines family proceedings by listing the various types of proceedings that it includes.

24. Regulation 3 of the DBA Regulations prescribes that a damages-based agreement must state:

    a. The claim or proceedings, or parts of them, to which the agreement relates;

    b. The circumstances in which the representative's payment, expenses and costs, or part of them, are payable; and

    c. The reason for setting the amount of the payment at the level agreed.

25. Section 58AA(2) provides that a damages-based agreement which does not satisfy the conditions of section 58AA(4) is unenforceable.

The authorities

26. There are few authorities which address damages-based agreements but a larger number that consider similar legal provisions relating to Conditional Fee Agreements ('**CFA**'). I set out five relevant authorities below.

27. The starting point is the Court of Appeal decision in Hollins v Russell [2003] EWCA Civ 718; [2003] 1 WLR 2487. The court decided at [105] that the purposes of the Conditional Fee Agreement Regulations 2000 ('**the CFA Regulation**') were "*to safeguard the administration of justice,* [and] *protect the client…*". This reflected the two aims suggested by Counsel for the Law Society recorded at [90]:

> *"… The first is to ensure that CFAs do not have an unacceptable tendency to corrupt public justice-that is, to place the legal representative in an intolerable conflict between his own self-interest and his duty both to his client and to the court. The second is to protect the client-to ensure so far as possible that she understands what she is letting herself in for and is able to make an informed choice amongst the funding options available to her.*

28. The key question was whether the statutory conditions applicable to the CFA had been sufficiently complied with in the light of their purposes: [107]. Costs judges should therefore ask themselves the following question:

> "*Has the particular departure from* [the statutory requirements]*, either on its own or in conjunction with any other such departure in this case, had a materially adverse effect either upon the protection afforded to the client or upon the proper administration of justice?*"

29. Sufficiency or materiality will depend upon the circumstances of each case: [109]. The Court of Appeal warned paying parties not to trawl through the facts of each case in order to discover a material breach and stated:

> "*At the stage when the agreement has been made, acted upon, and success for the client has been achieved, it is most unlikely that any minor shortcoming which the paying party might discover in the agreement or the procedures leading up to its making will amount to a material breach of the requirements or mean that the applicable conditions have not been sufficiently met.*"

30. In Garrett v Halton Borough Council (Law Society Intervening) [2006] EWCA Civ 1017; [2007] 1 WLR 554, Dyson LJ, giving the judgment of the Court of Appeal,

decided that it was irrelevant to the test of 'materiality' whether or not the client had suffered actual loss as a result of the failure to satisfy the regulatory conditions: [27]. The only mitigation of the strict approach is that the breach must be material, as explained in Hollins: [31].

31. In Fenton v Holmes [2007] EWHC 2476 (Ch); [2008] 2 Costs LR 238, Mann J considered at [35] "*the nature and degree of materiality and immateriality*". He concluded at [40] that "*the sort of breaches which can safely occur without imperilling the CFA are going to be relatively slight*".

32. In Silvera v Bray Walker Solicitors [2010] EWCA Civ 332; [2010] 4 Costs LR 584, solicitors had entered CFAs on the standard form of the Law Society. These included a statement that the percentage uplift chosen reflected "*the fact that if you lose, we will not earn anything*" and "*our assessment of the risks of your case: these include the following*". The solicitors did not state their assessment of the risks of the case. Regulation 3(1)(a) of the relevant CFA Regulations required a CFA to "*briefly specify*" the reasons for setting the uplift at the level stated.

33. Wilson LJ stated at [8] that Regulation 3(1)(a) had two purposes: "*the first was to enable the client who was entering into the agreement to perceive in writing at the time when it was made why, broadly, the success fee had been set at the level stated. The second was to enable the court, if ever called upon to determine the reasonableness of the success fee… to understand the reasons which gave rise to the level of it.*". He then examined the words of the standard form through the prism of:

    a. The need to protect the client: [25]. He measured the extent of the permitted brevity of the specification of the reasons for the level of the success fee in the CFA "*to some extent*" by the fact that the solicitors had explained orally the reason for the level of uplift (as required by Regulation 4) and the fact that the client appeared to understand the terms of the CFA fully; and then

    b. The need to promote fairness in any ultimate assessment by the court of the reasonableness of the specified success fee: [26]. He pointed out that there was

likely to be only one loser as a result of any omission from the agreement of the full reasons for the level of the success fee: the solicitor.

34. In the relevant part of Tonstate Group Ltd v Wojakovski [2021] EWHC 1122 (Ch); [2021] Costs LR 555, Zacaroli J considered an argument that a damages-based agreement was unenforceable if it entitled the solicitors to payment from shares preserved for the client as a result of the settlement of litigation. At paragraph [50], the judge concluded that "*it is a necessary prerequisite to the entitlement of a representative to payment under a DBA that the client has made a recovery from the other side to the litigation.*"

ANALYSIS

35. I have considered three ways in which the DBA could be unenforceable:

    a. It provides for Ms Johnson to pay 50% of any compensation realised pursuant to the Assignment, where the definition of Compensation includes "*full or partial release from the burden of the Mortgages*", which does not constitute a "*recovery*" within the meaning of Section 58AA or the DBA Regulations. This defence has not yet been raised by Ms Johnson;

    b. It relates to family proceedings. This defence is raised in paragraph [27.4] of the Amended Defence based on the statement in the original Particulars of Claim in paragraph [24] that "*the function of* [the DBA] *was to provide an incentive for the Claimant to work diligently until a settlement was obtained and to compensate him for the years of work and assistance provided both during and after the Defendant's divorce*";

    c. It fails in breach of Regulation 3(c) to specify the reason for setting the amount of the payment at the agreed level. This defence is raised in paragraph [27.5] of the Amended Defence. Ms Johnson says that this breach was material because, had the DBA included the reason for setting the amount at 50%, this would have included compensating Mr Stoop for his work in respect of Ms Johnson's divorce.

This would have rendered the DBA unenforceable because it related to family proceedings.

Release from the Mortgages does not constitute a recovery

36. An agreement by a creditor/defendant to waive part of a debt owed by a debtor/claimant would not provide the debtor/claimant with a "*recovery*" within the meaning of section 58AA and the DBA Regulations because the claimant would not receive anything from the defendant, he would simply owe the defendant less. Any DBA that provides for a payment on such an outcome would therefore be unenforceable.

37. The background to the DBA is more complex:

    a. The debts secured on Warwick House and the Paris Flat by Barclays were not taken out by Ms Johnson or even by Mr Takieddine, her former husband: they were taken out by companies owned by Mr Takieddine;

    b. Warwick House was owned beneficially by Ms Johnson and Mr Takieddine. Barclays had security over the legal title and, therefore, over the beneficial interests of both Ms Johnson and Mr Takieddine;

    c. The value of Warwick House was around £12 million (inferred from its sale price) and the value of Barclays' security was around £7 million (being £6 million in capital and £1 million in interest). This left free equity of around £5 million. If (as I assume) the Barclays debt was taken out for the sole benefit of Mr Takieddine, that free equity was held solely for the benefit of Ms Johnson. If not, it was split between Ms Johnson and Mr Takieddine equally;

    d. Ms Johnson had charging orders over Mr Takieddine's equitable interest in Warwick House for sums that by the date of the Settlement Agreement on 30 June 2019 totalled £5,377,817;

    e. Ms Johnson had the benefit of an order dated 16 September 2016 granting her sole conduct of the sale of Warwick House and an order dated 27 November 2017

directing how the proceeds of sale be distributed ('**the 2017 Order**'). The 2017 Order included directions that payment be made to Ms Johnson from Mr Takieddine's share of the equity in amounts that by 30 June 2019 totalled £6,297,151 (plus €7,500);

f. As a result of Ms Johnson's charging orders and the 2017 Order, Ms Johnson was entitled to the complete value of the equitable interest in Warwick House, whether or not the Barclays charge was valid. At least by 30 June 2019, Mr Takieddine had no proprietary or financial interest in Warwick House at all.

g. Whether the same result applied at the date of the DBA on 4 May 2018 depends on the then value of Warwick House and calculation of the sum payable under the 2017 Order. For present purposes, I assume that it did.

38. As a consequence, the effect on 4 May 2018 of a release by Barclays of even the whole of the mortgage over Warwick House would not have been to waive a debt due from Ms Johnson but rather to remove security over an interest in property over which Ms Johnson had a subsequent security either in law, pursuant to her charging orders, or in practical effect, by reason of the 2017 Order.

39. The terms of the DBA that provided for Ms Johnson to pay Mr Stoop in circumstances where Barclays released the burden of the Mortgages probably fell within the scope of Section 58AA and the DBA Regulations because:

a. Although the release would not constitute a 'payment' in the normal use of the word, it could constitute "*a transfer of assets and any other transfer of money's worth…*" within the extended definition provided by Section 58AA. The effect of the release would be to transfer part of the beneficial interest in Warwick House from Barclays' security to Ms Johnson. Whether or not this is a transfer of an asset, a court is likely to consider it as a transfer of money's worth because that is how it was considered by both Barclays and Ms Johnson;

b. Although the release itself could not constitute a 'sum recovered' within the meaning of the DBA Regulations, it would become so on the "*realisation of the*

benefit" of the release, namely by the sale by the of Warwick House. This is likely to comply with the DBA Regulations because, as the DBA makes clear, the fee is only payable when Ms Johnson has received the cash outcome of any settlement.

40. I have not analysed the position regarding the Paris Flat because I do not have the relevant information. If the inclusion of the Paris Flat rendered the DBA unenforceable, for example because it provided for Ms Johnson to pay a fee in respect of a benefit of the release of the Paris Mortgage that did not accrue to her, then there is a good chance that the part of the DBA that dealt with the Paris Mortgage could be severed to leave the remaining part that dealt with the London Mortgage as valid: see Chitty on Contracts, 34th Ed, paragraphs 18-252 to 18-257.

The DBA relates to family proceedings

41. There is no doubt that the family proceedings are not 'the subject of' the DBA within the ordinary meaning of these words. The subject of the DBA is set out in the first paragraph of the preamble: to secure compensation in relation to the Mortgages.

42. The issue is whether the reference in Section 58(4)(aa) to a damages-based agreement that "*relate*[s] *to proceedings*" has a meaning distinct from the reference in section 58A(1) to proceedings that are "*the subject of*" a CFA:

    a. The concept of "*relate to proceedings*" is wider than "*the subject of*" as a matter of normal English. Proceedings which are the subject-matter of a CFA are those specific proceedings. A DBA may relate to proceedings without those proceedings necessarily being the subject-matter of the DBA;

    b. The court must assume that Parliament has chosen the words of the statute deliberately. Section 58AA(4)(aa) uses "*relate to*" in respect of DBA and "*the subject of*" in respect of CFA. By choosing different words, it is likely that Parliament intended the words to have a different meaning;

c. The question is what distinct meaning Parliament intended by using the words "*relate to*" instead of "*the subject of*". This requires a wider consideration of Section 58AA and the DBA Regulations;

d. The definition of a damages-based agreement within section 58AA includes the payment of a fee where the client obtains a financial benefit "*in connection with the matter in relation to which the services are provided*". Regulation 3(a) of the DBA states that the agreement must specify "*the claim or proceedings or parts of them to which the agreement relates*";

e. It is likely that "*the matter in relation to which the services are provided*" and "*the claim ... to which the agreement relates*" was intended to have the same meaning as "*relate to proceedings*" within section 58(4)(aa). In other words, a damages-based agreement that relates to proceedings are those in relation to which the services are provided.

43. The DBA stipulated that Mr Stoop provided his services in relation to the claim for compensation in relation to the Mortgages. As a result, it is likely that the DBA 'related to' this claim and so did not 'relate to' family proceedings, even if (as Ms Johnson suggests) the level of the fee was set at 50% partially in order to compensate Mr Stoop for the work he had done on her divorce.

The DBA fails to specify the reason for setting the fee at the agreed level

44. My Instructions suggest that: (a) the reason for setting the Success Fee at 50% was stated in Clause 5; and (b) the DBA omitted in error a sentence in Clause 5 such as: "*These are the reasons for the level of the Success Fee*".

45. Whether that argument succeeds depends to a significant extent on whether the court accepts Mr Stoop's explanation for having stated in his original Particulars of Claim at [24] that "*the function of* [the DBA] *was ... to compensate him for the years of work and assistance provided both during and after the Defendant's divorce*" ('**the PoC Reason**'). If the court accepts Mr Stoop's explanation (which he has not yet

provided) for including the PoC Reason, this argument is just more likely than not to succeed. If it does not, the argument is likely to fail.

46. Clause 5 is entitled "**Risks**" and reads as follows:

> *"We would point out that there are risks involved in making a claim against a bank. They include cost, time involved of pursuing a claim against a bank, the risk that the dispute will end in court and the possibility of losing money."*

47. I address three questions in this section:

    a. Whether Clause 5 specifies the reason for setting the Success Fee at 50%. If the court accepts Mr Stoop's explanation for including the PoC Reason into the original Particulars of Claim, then my answer is: just probably, yes. If not, very probably no;

    b. If it does, whether the omission from Clause 5 of a sentence, such as: "*The Success Fee has been set at 50% because of these risks*", is in breach of Regulation 3(c) of the DBA Regulations. My answer is: probably yes; and

    c. If so, whether the breach of Regulation 3(c) is material. My answer is: probably no.

48. As a result, subject to the Court's assessment of Mr Stoop's explanation, the court will probably conclude that the DBA is enforceable.

<u>Does Clause 5 specify the reason for setting the Success Fee at 50%?</u>

49. This issue is a question of contractual construction. The court applies general principles of construction to determine the meaning of a term. These principles were summarised by Popplewell J in <u>Lukoil Asia Pacific Pte Ltd v Ocean Tankers (Pte) Ltd (The "Ocean Neptune")</u> [2018] EWHC 163 (Comm); [2018] 2 All ER (Comm) at [8]:

> "*The court's task is to ascertain the objective meaning of the language which the parties have chosen in which to express their agreement. The court must consider the language used and ascertain what a reasonable person, that is a person who has all the background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract, would have understood the parties to have meant. The court must consider the contract as a whole and, depending on the nature, formality and quality of drafting of the*

contract, give more or less weight to elements of the wider context in reaching its view as to the objective meaning of the language used. If there are two possible constructions, the court is entitled to prefer the construction which is consistent with business common sense and to reject the other. Interpretation is a unitary exercise; in striking a balance between the indications given by the language and the implications of the competing constructions, the court must consider the quality of drafting of the clause and it must also be alive to the possibility that one side may have agreed to something which with hindsight did not serve his interest; similarly, the court must not lose sight of the possibility that a provision may be a negotiated compromise or that the negotiators were not able to agree more precise terms. This unitary exercise involves an iterative process by which each suggested interpretation is checked against the provisions of the contract and its commercial consequences are investigated. It does not matter whether the more detailed analysis commences with the factual background and the implications of rival constructions or a close examination of the relevant language in the contract, so long as the court balances the indications given by each."

50. Chitty on Contracts, 34th Ed, paragraph 15-53 broke this summary down into a number of components, namely (i) the objective nature of the assessment; (ii) the "factual matrix" or "available background"; (iii) the meaning of the language used by the parties; (iv) the need to have regard to the contract as a whole; (v) the significance of the nature, formality and quality of the drafting of the contract; (vi) what is to be done when there are two possible meanings of the disputed clause; (vii) the unitary and iterative nature of the process, and (viii) striking the balance between the various, potentially conflicting, principles.

Factual matrix / available background

51. The following facts and matters are relevant to the construction of clause 5:

    a. The DBA was drafted by Mr Stoop. The quality and formality of the drafting is less than if drafted by solicitors. The court may thus pay less attention to the exact words used in the DBA and give more consideration to the context when ascertaining the objective meaning of the clause;

    b. The express wording of the DBA. In particular, the statements in: (a) Clause 1 that Mr Stoop would be responsible for instructing legal and other advisors, would choose and coordinate them, and would meet their costs & expenses; and

(b) Clause 3 that: (i) Ms Johnson would not be responsible for meeting any of the costs incurred by Mr Stoop unless expressly agreed; and that (ii) no costs would be deducted from the Compensation unless expressly agreed by Ms Johnson;

c. Ms Johnson was unable to pay the costs of the claim against Barclays privately or, at least, she now claims not to have had a significant income or substantial liquid assets;

d. The Assignment had a substantial proposed scope. This is obvious from the wording of the DBA, where Clause 1 described how the Assignment would be "*carried out in the UK and other jurisdictions and may be on multiple fronts*", including: litigation against the Bank and/or third parties including advisors; negotiations with the Bank and/or the advisors; media campaigns; and coordination with politicians, regulators and/or criminal prosecutions;

e. Mr Stoop had carried out substantial work prior to the DBA relating to Ms Johnson's divorce and other proceedings. Ms Johnson was thus aware of the diligence with which Mr Stoop would pursue the Assignment and the quality of the output of Mr Stoop's work;

f. Mr Stoop did not have a substantial income or substantial liquid assets. The Assignment would take up a substantial part of his time going forward and would limit his ability to earn from other work. Any costs that he was required to disburse would have a significant impact on his liquid assets or income;

g. Ms Johnson was an experienced litigator, having instructed lawyers in Paris and London to conduct and defend claims over a range of subject-matters; and

h. Although Mr Stoop was confident that Barclays would settle Ms Johnson's claim, he had not at the time of the DBA identified her precise cause of action. Mr Stoop said in note 13 to my Instructions that "*my pre-contract advice was that the mortgages were illegally obtained and so unenforceable*". He settled upon the tort of unlawful means conspiracy only after commencing the Assignment.

The meaning of the language used

52. At first sight, this appears to be a clause by which Mr Stoop warns of the risks to Ms Johnson involved in making a claim against Barclays. The factors of cost & time and the risk that dispute will end up in court are those which ordinarily apply to the client. Moreover, the client is the one who ordinarily faces "*the possibility of losing money*" as the result of a negative costs order.

53. Seen in context, however, there is a respectable argument that Clause 5 informs Ms Johnson of the risks that Mr Stoop will take under the DBA:

    a. Clause 5 is the only part of the DBA apart from Clause 7 that has no contractual effect. Clause 7 provides a Complaints procedure and is clearly a regulatory requirement. The question arises as to the purpose of Clause 5;

    b. It is an assumption that the purpose of Clause 5 is to warn Ms Johnson of the risks of litigation. This assumption requires to be tested. The other option is that Clause 5 is to explain the risks to Mr Stoop of entering the DBA and therefore the reason why the Success Fee is set at 50%;

    c. There is no need for Mr Stoop to include in the DBA a warning to Ms Johnson of the risks of litigation. Both parties knew that she was an experienced litigator and already knew the risks. This suggests that the parties intended Clause 5 to serve a different purpose.

54. I consider next the second sentence of Clause 5:

    a. The first risk identified in making a claim against the bank is the cost. The DBA states in Clauses 1 and 3 that Mr Stoop will be liable for the costs of instructing advisors, including lawyers, and Ms Johnson would not be responsible for any costs incurred by him:

        i. It is possible that the reference is to court fees but unlikely because they are not referred to by name. The only costs referred to in the DBA are those for

which Mr Stoop will be responsible, which makes it likely that the reference is to costs that he will incur;

ii. Both Ms Johnson and Mr Stoop knew that Mr Stoop could not afford to fund her litigation himself and intended to engage CRS, solicitors, on a CFA. I assume, however, that the parties anticipated that Mr Stoop could incur up-front costs when dealing with investigators, financial advisors, French lawyers, and media advisors. These are costs that the DBA places at risk if the claim should fail;

iii. There is an indicator in Clause 5 that it is intended to refer to the risks that Mr Stoop is incurring by taking on the Assignment in the DBA.

b. The second risk identified of making a claim against a bank is the time involved. Both Mr Stoop and Ms Johnson would spend time in pursuing the claim, so at first sight this is neutral:

i. Both parties knew, however, that Mr Stoop would spend a great deal of his time on the Assignment. This was clear from the earlier work that Mr Stoop had done to assist Ms Johnson in her other litigation. It was also obvious that the amount of time that Mr Stoop would spend on the Assignment would limit the time he could spend to obtain and work on other cases as a claims manager.

ii. The effect of taking all this time was to require Mr Stoop to undertake a significant financial risk in performing the Assignment. In some ways, this was a much greater risk than that taken by Ms Johnson, who would spend less time on the claim, was not using time that could have been spent profiting from other work, and could not otherwise have funded the claim.

iii. On balance, therefore, I consider that the reference to the time involved in making the claim points towards Clause 5 referring to the reason why the Success Fee was set at 50%. The reference to a bank is probably neutral.

Mr Stoop appears to be sharing his knowledge that banking claims usually take a long time to resolve;

c. The third risk stated is that the dispute will end in court. Both parties knew that Mr Stoop anticipated that Barclays would settle the claim because of the embarrassment it would suffer from the publicity of a court hearing at which Ms Johnson would make serious allegations of corruption. If the dispute ended in court, Ms Johnson would be cross-examined and her private life could be the subject of press reports and comment. On the other hand, Mr Stoop would only suffer the inconvenience of having to wait until judgment before receiving his Success Fee. On balance, this is more likely to be a warning to Ms Johnson than a statement of the risk that Mr Stoop. It is not, however, determinative;

d. The fourth and final risk identified is "*the possibility of losing money*". This is an unusual phrase in the circumstances. The DBA did not identify specifically any up-front costs that Mr Stoop would have to pay and both parties knew that CRS and Counsel would enter CFAs. It could refer to the risk to Ms Johnson of being the subject of a negative costs order. If so, however, one would expect Mr Stoop as an experienced claims manager first to have been more precise and secondly to have placed more emphasis on the significant risk of a negative costs order. On balance, it fits more comfortably as a reference to the risk that Mr Stoop may lose the money that he has spent up-front by way of costs.

The counter-indications

55. There are three counter-indications from which the court could conclude that Clause 5 was intended to be a warning to Ms Johnson of the risks that she was running.

56. The first is the initial impression from reading the DBA without considering the context. As alluded to above, Clause 5 on its face appears to be a warning to Ms Johnson. It is only when read in context that it appears to be an explanation of the risks run by Mr Stoop. Depending on the judge, initial impressions can count for a lot.

57. The second is the positioning of Clause 5 within the DBA. The natural place for a statement of the reason for setting the Success Fee at 50% is within Clause 3, which addresses the calculation of the Success Fee. If it was contained in a separate clause, one would expect it to follow Clause 3 directly. The position of Clause 5 away from Clause 3 and between "Acceptance" and "Exclusion of Liability" suggests that it has a different purpose.

58. The third is the email exchange on 25 April 2018. Having read the draft DBA, Ms Johnson says that "*I would need to discuss with you your paragraph 5 Risks… I cannot take the risk of losing anything from the proceeds of the WH sale.*" Mr Stoop replies that Clause 5 is a "*standard paragraph in all my engagement letters*" and points out that he is paid only if benefits are achieved:

    a. One the one hand: (i) the DBA contains an Entire Agreement clause: (ii) the courts are expressly prevented from considering the pre-contract negotiations as aids to construction; and (iii) Mr Stoop did not say in this exchange that Clause 5 was intended to warn Ms Johnson of the risks to her of making a claim against Barclays;

    b. On the other hand: (i) Ms Johnson makes it clear in her email that she believed that Clause 5 was intended to warn of the risks to her; (ii) despite this, Mr Stoop did not seek to explain that Clause 5 had a different meaning, which suggests that he agreed with Ms Johnson's construction; and (iii) whatever the rules, a court is unlikely to conclude that a contractual clause has one meaning when the parties pre-contract appeared to consider that it had another. Ms Johnson could even make an argument that Mr Stoop is estopped from arguing that Clause 5 did anything other than warn of the risks to her of making a claim against Barclays.

    It is almost inevitable that Mr Stoop will be cross-examined about this exchange and likely that the court will pay considerable attention to the explanation that he gives for not putting Ms Johnson straight about the purpose and meaning of Clause 5.

Conclusion: does Clause 5 contains the reason for setting the Success Fee at 50%?

59. Absent the email exchange of 25 April 2018, I would conclude that, when read in context and objectively, Clause 5 was on balance intended by the parties to contain the reason for setting the Success Fee at 50%. The failure by Mr Stoop to tell Ms Johnson that this was the intention of Clause 5 is a something that he will have to explain. If the court accepts his explanation, my opinion remains the same. If it does not, I expect the court to conclude that Clause 5, despite the manifest problems with drafting, was intended to warn Ms Johnson of the risks to her of bringing a claim against Barclays.

<u>Did Clause 5 contain all of the reason for setting the level of the Success Fee at 50%?</u>

60. The final question under this heading is why Mr Stoop approved a Particulars of Claim that stated at paragraph [24] that "*the function of these contractual terms was … to compensate him for the years of work and assistance provided both during and after the Defendant's divorce*" ('**the Other Work**'):

    a. Mr Stoop at Note 5 to my Instructions states that this was "*an own goal scored by the previous legal team (and me)*" but that does not explain how this error took place. This point should be addressed in Mr Stoop's witness statement and will very probably be the subject of cross-examination by Ms Johnson's Counsel;

    b. Paragraph 27.4 of Ms Johnson's Amended Defence states that this statement shows that the DBA related to family proceedings. As advised above, I do not consider this argument will succeed. There is nothing to prevent Ms Johnson from amending her Defence in due course to add a claim that the DBA failed properly to specify the reason for the setting the level of the Success Fee;

    c. The court is likely to construe Regulation 3(c) in line with its statutory purpose as requiring the DBA to specify the important parts of the reason for setting the level of the payment, however briefly;

d. If the court determines that the Success Fee was set at 50% in part because of the Other Work, it is likely also to conclude that this was an important part of the reason for setting the fee at that level;

e. This will lead to the conclusion that the DBA breached Regulation 3(c). The outstanding question will be whether the breach was sufficiently material to render the DBA unenforceable.

Does the omission of a sentence identifying the reasons for setting the Success Fee at 50% constitute a breach of Regulation 3(c) of the DBA Regulations?

61. Regulation 3(c) requires the DBA to "*specify ... the reason for*" setting the Success Fee at 50%. The first question is whether the Regulation requires only that the DBA specifies the reasons or also that it identifies the reasons as such by, for example, including a sentence such as that which my instructions suggest was missing from the DBA.

62. This requires the court to interpret the requirement of Regulation 3(c) ('**the Requirement**') in the light of its two legislative purposes stated in Silvera. If either purpose requires the reasons for setting the Success Fee at 50% to be identified as such, it is a breach of the Regulation to omit it.

63. The first purpose is to enable the client to understand why, broadly, the Success Fee had been set at the level stated. It is probably sufficient that someone in the position of the client, knowing the context in which the agreement was made would understand that the purpose of certain phrases was to state the reasons for setting the Success Fee at 50%. The client would be protected by the statement of the reasons, even if they were not identified as such.

64. The second purpose is the need to promote the administration of justice and in particular to promote fairness in any ultimate assessment by the court of the reasonableness of the Success Fee. As Mr Stoop is a claims manager, there is no obvious occasion when the court would assess the reasonableness of Mr Stoop's fee. This contrasts with solicitors, whose DBAs are probably reviewable by costs judges on a solicitor and own client basis. This is a complex and untested area but Nicholas

Bacon QC concluded in his review of DBAs dated 28 May 2012 that the court could review them either pursuant to section 59 of the Solicitors Act 1974 as a contentious business agreement or (which he considered less likely) pursuant to section 70 of the Act. In respect of CFAs, Costs Judge Leonard decided in Acupay System LLC v Stephenson Harwood LLP (25.06.21) at [188] that solicitors could state in their agreement which provision would apply.

65. As neither statutory purpose requires a DBA to identify as such the reasons for setting the success fee at the level agreed, the natural conclusion is that Regulation 3(c) does not require Mr Stoop to include this identification within the DBA between himself and Ms Johnson. On balance, however, I reach the opposite conclusion: that the omission of a sentence such as "*The Success Fee has been set at 50% because of these risks*" was a breach of Regulation 3(c). The reason is that to decide otherwise would create a division between DBAs with solicitors and those with claims managers. This difference does not exist in the legislation and is unjustified: if solicitors would have to include such an identifying sentence in a DBA, so should claims managers.

Is any breach of Regulation 3(c) material such that the DBA is unenforceable?

66. The court will follow the test set by the Court of Appeal in Hollins v Russell. In applying that test, it is very likely that the court will follow the decision of Wilson LJ in Silvera and conclude that Regulation 3(c) had two legislative purposes: (i) to enable the client to understand why broadly the success fee had been set at the level stated; and (ii) to enable the court, if ever called upon to determine the reasonableness of the success fee, to understand the reasons which gave rise to its level.

67. In respect of the first purpose, the court will:

a. Not consider whether the breach of the Requirement caused Ms Johnson any actual prejudice. The issue is whether the breach materially affected the protection afforded to Ms Johnson by the Requirement; and

b. Use these yardsticks assess whether the breach was de minimis or relatively slight, adopting the reasoning of Mann J in Fenton; and

c. Ask itself the question: "*Has the particular departure from* [Regulation 3(c)], *either on its own or in conjunction with any other such departure in this case, had a materially adverse effect either upon the protection afforded to the client or upon the proper administration of justice?*"

68. Every case is decided on its own facts. This affords the court some flexibility in its assessment of materiality. In this case, the court will probably consider the following factors:

    a. Clause 5 of the DBA contains the reason for setting the Success Fee at 50%, if the court accepts Mr Stoop's explanation for the contents of his Particulars of Claim;

    b. Both parties understood that Clause 5 contained the reason for setting the Success Fee at 50%, if Ms Johnson did;

    c. Ms Johnson suggested that the Success Fee be set at 50%, if she did;

    d. Mr Stoop and Ms Johnson had discussed the reason for setting the Success Fee at 50%, if they did;

    e. Ms Johnson has obtained substantial Compensation of around £1 million;

    f. Ms Stoop's work was an effective cause of the Compensation, if it was; and

    g. This is a claim for payment by a claims manager, so the court is unlikely ever to assess the Success Fee. Although this factor probably does not affect whether the DBA breached Regulation 3(c), the court is more likely to take it into account when assessing whether (taken with the other factors) the breach is material.

69. If all the factual issues above are decided in Mr Stoop's favour, it is likely that the court will conclude that any breach of the DBA Regulations is immaterial.

70. The most important issue is whether part of the reason for setting the Success Fee at 50% was because of the Other Work that Mr Stoop carried out. If the court finds

against him on this issue, the court is likely to find that the breach of the DBA Regulations is material.

EFFECTIVE CAUSE CONDITION

71. I have also been asked to advise on whether the DBA should be construed to make payment of the Success Fee conditional on Mr Stoop's work on the Assignment being an effective cause of Barclays paying the Compensation ('**the Effective Cause Condition**'). This is argued by Ms Johnson in her Amended Defence at paragraph 23.5. As I have discussed the issue with my Instructing Solicitors, they have suggested that I record my opinion in writing.

EMFC v The Resort Group

72. My Instructing Solicitors have advised Mr Stoop that the DBA does not include the Effective Cause Condition, relying on the case of EMFC Loan Syndications LLP v The Resort Group Plc [2021] EWCA Civ 844; [2022] 1 WLR 717 (2021). In that case the Court of Appeal decided that a contract between one of two consultants to aid a company raise long-term finance did not require that the consultant be the effective cause of the finance raised, whether as a matter of construction or by reason of an implied term.

73. Like all decisions regarding the effect of a contract, the main parts depend on the particular terms used. Carr LJ, giving the leading judgment, nevertheless provided some indication as to how courts should decide similar cases. At [67] he stressed that there are commission contracts to which the Effective Cause Condition may not apply, particularly outside the residential estate agency context. At the same time, "*where there might be multiple agents working independently to secure a transaction, the implication of an 'effective cause' requirement may be necessary to provide business efficacy*". Considering the particular contract, he noted at:

[69] that the contract contained no express Effective Cause Condition when it could have done if that was what the parties had intended. It was relevant that the contract contained an 'entire agreement' clause;

[70-72] that the scope of the consultant's appointment was to assist in the execution of the facilities, not to deliver them. It was not a typical introducer's agreement to bring about execution of the facilities but instead for the delivery of services. Each consultant had an entirely different skill set: it was not commercially absurd that the company had to pay two commissions.

[77] that difficulties in proof can be relevant when considering whether the parties would have intended an Effective Cause Condition. Where two agents were to work collaboratively together, one could readily foresee difficulties in establishing which was the effective cause of a transaction;

[78] that there were obvious differences between a residential consumer case and this one including that the consultant was not engaged to introduce a lender and that the rationale for the avoidance of payment of two commissions did not exist.

Bolt Burdon v Tariq

74. In Bolt Burdon Solicitors v Tariq [2016] EWHC 811 (QB); [2016] 2 Costs LR 359, the court considered whether a DBA should include an Effective Cause Condition. Mr Stoop may recall the case as he provided the "*cogent*" expert report that Mr Tariq relied on in his successful claim against AIB in respect of an IRHP. The solicitors sought a success fee of 50% (which was common in this specialist area: [19]) and the client defended the claim on grounds including that the contract included an Effective Cause Condition.

75. The solicitors' client engagement letter summarised the DBA in terms that "*If we obtain compensation for you, our fee … will be 50% of the compensation that you are awarded …*": [36]. Spencer J at:

[78] concluded that the provisions of the DBA made it clear that the contingency upon which the solicitors fee became payable was the objective fact of an offer of compensation, however that offer came about.

[79-80] implicitly rejected reliance on the terms of the client engagement letter.

[81] concluded that the relevant factual matrix was that the client had no prospect of obtaining compensation other than through whatever the solicitors could achieve on his behalf. The simple & critical term was that the client had agreed to pay 50% of any compensation offered during the agreement.

[82] rejected the implication of an Effective Cause Condition because it would "*pose insurmountable difficulties of interpretation and proof.*" Analogies with estate agency contracts were unhelpful. Would the claimant be required to obtain evidence from AIB? What if AIB offered compensation for a range of reasons? How would the weight and effectiveness of any individual reason be assessed?

[83] rejected the use of the word "*obtained*" in any implied term because it conflicted with the definition of compensation to include "*gestures of good will and ex gratia payments*". In contrast, the focus of the definition in the DBA is the fact of the offer, rather than the motivation behind it.

Analysis

76. When considering the DBA between Mr Stoop and Ms Johnson, the court is likely to consider the following factors:

    a. The DBA is a long way from the analogy of residential estate agency;

    b. At least when the DBA was entered, Mr Stoop was not working in competition against others in trying to obtain the Compensation for Ms Johnson;

    c. The DBA did not contain an express Effective Cause Condition;

    d. The scope of the Assignment could include making claims on multiple fronts, including litigation against Barclays and financial, legal and other advisors. Mr Stoop could arrange a media campaign and coordinate with politicians, regulators and/or criminal prosecutors. His role did not necessarily include being on the front line against Barclays;

e. The nature of Mr Stoop's consultancy work and claims management services made it difficult for him to prove that he was an effective cause of the Compensation, rather than one of the other agents instructed. There might also be political, legal, and other pressures on Barclays to provide the Compensation. Mr Stoop would be unable to obtain the necessary evidence and it may not be obvious whether his work was an effective cause in the light of the other causes; and

f. The rationale for the avoidance of paying two commissions did not exist.

77. Against this background, the court would construe the definition of Success Fee in Clause 3 as 50% of any compensation "*realised pursuant to the Assignment, monetary or otherwise, howsoever obtained…*" to determine whether it included an Effective Cause Condition. As this is a process of construction, the fact that the DBA contains an 'entire agreement' clause at Clause 4 is irrelevant.

78. The original Defence at [23.6] addresses the apparent tension between the phrases "*realised pursuant to the Assignment*", which suggests that Mr Stoop's work must be the effective cause of the Compensation, and "*howsoever obtained*", which suggests that it need not be. I agree with the Defendant that this tension is more apparent than real. The phrase "*howsoever obtained*" addresses the "*how*" of the compensation; as described in the paragraphs below, the Compensation could be by way of cash settlement or settlements or release from one or more mortgage obligations or (presumably) otherwise.

79. That leaves the phrase "*realised pursuant to the Assignment*". The court could construe this either way:

a. On the one hand, the literal meaning of the words used to define Success Fee requires that it be calculated on any compensation realised pursuant to, in other words as a result of, the Assignment, which is defined in Clause 1 to comprise Mr Stoop's consultancy work and claims management services.

b. On the other hand, all the factors stated above point against an Effective Cause Condition. When the parties entered the DBA, there was no suggestion that Ms Johnson could obtain compensation from any other source than Mr Stoop's work. There was no need at the time for the DBA to require an Effective Cause Condition to make business sense.

80. On balance, I consider that a court will construe the DBA to include an Effective Cause Condition, but not for any reason put forward (yet) by Ms Johnson. Nor does it require a careful parsing of the words of the DBA more suitable to a contract drawn up by solicitors. At the end of Clause 1 of the DBA, Mr Stoop writes that "*For the avoidance of doubt, termination of the agreement after the 14 days' 'cooling off' period will not terminate the 'Success Fee' arrangement set out below.*" On Mr Stoop's construction, this would require Ms Johnson to pay him 50% of the compensation that she received from Barclays even if a third party (like a solicitors' firm) carried out all the work that effectively caused the compensation a long time after Ms Johnson terminated the DBA. This construction seems sufficiently unlikely that, when taken with the literal meaning of the definition of 'Success Fee', a court is more likely than not to require Mr Stoop to have been the effective cause of Ms Johnson receiving compensation from Barclays in respect of the Mortgages.

DUNCAN MACPHERSON
Temple
21 May 2022

IN THE HIGH COURT OF JUSTICE
Claim No: BL-2020-002063

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
BUSINESS LIST (ChD)

BETWEEN:

Mr NICHOLAS STOOP
T/A WARWICK RISK MANAGEMENT
Claimant

- and-

Ms NICOLA MAXINE JOHNSON
Defendant

ADVICE ON THE VALIDITY OF THE DAMAGES-BASED AGREEMENT DATED 9 APRIL 2018

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